Zava DIY

Quarterly Store Performance Report — Q2 2026 (April–June)

Prepared by Retail Operations & Merchandising Analytics · Zava DIY Support Center, Seattle, WA · Issued 17 July 2026 · Internal — for the Quarterly Business Review · Sample data for training purposes only

1. Executive Summary

Zava DIY closed Q2 2026 with net sales of **$47.00M** across eight locations, up **7.5%** against the $43.73M recorded in Q2 2025. Growth was concentrated in the digital channel and the two largest Puget Sound stores, and the quarter benefited from a strong spring paint season and an early start to outdoor project demand.

Beneath the top-line result, the quarter was less comfortable than it looks. Consolidated gross margin fell to **32.2%** from 33.4% a year ago, a 1.2 point erosion driven by promotional depth in Garden & Outdoor, a higher digital mix carrying lower margin and rising fulfillment cost, and clearance activity in Spokane that did not arrest the store's decline. Two structural issues carry into Q3: an outdoor inventory position built for a demand curve that is already past its peak, and a Spokane market that has now declined for three consecutive quarters.

2. The Quarter at a Glance

Measure	Q2 2026	Q2 2025	Change
Net sales	$47.00M	$43.73M	+7.5%
Gross profit	$15.13M	$14.61M	+3.6%
Gross margin	32.2%	33.4%	−1.2 pts
Transactions	480,430	459,100	+4.6%
Average basket	$97.83	$95.25	+2.7%
Digital share of net sales	21.3%	19.3%	+2.0 pts
Net Promoter Score (blended)	41	45	−4 pts
In-stock rate, top 200 SKUs	93.2%	95.6%	−2.4 pts

Net sales in this report are stated **after** customer returns and allowances. See the methodology note in Appendix A before comparing these figures with the operational sales extracts published to the Store Operations SharePoint library.

3. Store Performance

Store	Q2 2026 net sales	YoY	Gross margin	Share of chain
Seattle	$10.64M	+8.1%	32.1%	22.6%
Zava Retail Online	$10.01M	+18.9%	30.4%	21.3%
Bellevue	$8.17M	+7.4%	33.4%	17.4%
Tacoma	$6.14M	+2.7%	32.8%	13.1%

Everett	$3.62M	+4.0%	33.1%	7.7%
Redmond	$3.18M	+5.6%	33.6%	6.8%
Kirkland	$2.88M	+3.6%	33.2%	6.1%
Spokane	$2.36M	−9.6%	29.8%	5.0%
Chain total	$47.00M	+7.5%	32.2%	100.0%

Seattle and Bellevue carried the quarter, together contributing 40.0% of chain net sales and roughly half of the year-over-year dollar gain. Both stores held margin within 1.3 points of plan despite participating fully in the spring promotional calendar.

Zava Retail Online grew 18.9%, the fastest of any location for the fourth consecutive quarter, and now represents 21.3% of the chain. The channel's 30.4% gross margin is 1.8 points below the chain average before any allocation of fulfillment cost, and its return rate of 5.9% is more than double the physical-store average.

Spokane declined 9.6% on top of a 4.1% decline in Q1 2026 and a 2.8% decline in Q4 2025. Margin fell to 29.8%, the lowest in the chain, as the store ran three unplanned clearance events during the quarter. Local competitive intensity increased in March 2026 when a national competitor opened a 96,000 sq ft location 3.4 miles from the store. Foot traffic is down 11.2% year over year; conversion is broadly unchanged, which suggests a traffic problem rather than a selling problem.

Tacoma grew 2.7%, the weakest of the western Washington stores. The store absorbed a 9-day partial closure in May for HVAC replacement, which management estimates cost approximately $310K in net sales.

4. Category Performance

Category	Q2 2026 net sales	Share	YoY	Markdown rate
Garden & Outdoor	$9.12M	19.4%	+11.3%	18.3%
Paint & Finishes	$7.90M	16.8%	+14.1%	7.4%
Lumber & Building Materials	$7.10M	15.1%	+2.2%	4.1%
Power Tools	$6.39M	13.6%	+9.8%	9.6%
Hardware	$4.56M	9.7%	+3.1%	3.8%
Hand Tools	$3.85M	8.2%	+5.4%	5.2%
Electrical	$3.01M	6.4%	+1.9%	3.3%
Plumbing	$2.87M	6.1%	+0.4%	3.6%
Storage & Organization	$2.21M	4.7%	+6.7%	6.9%
Total	$47.00M	100.0%	+7.5%	8.3%

Paint & Finishes delivered the strongest growth in the portfolio at 14.1%, consistent with the April peak the category reaches every year in the Washington market. The result was achieved on a markdown rate of 7.4%, below the category's 8.5% plan.

Garden & Outdoor grew 11.3% in dollars, but the growth was bought. The category ran a chain-wide markdown rate of **18.3%** against a planned rate of 9.5%, and three of the four promotional events in the quarter were unscheduled additions made in-quarter to move inventory. Category gross margin finished at 26.9%, 5.3 points below chain average and the lowest of any category.

Lumber & Building Materials grew only 2.2% despite the June construction peak. Supplier lead times on dimensional lumber extended from 11 days to 19 days in May following a mill outage in Oregon, and the category recorded 41 stock-out days across the chain on its top 25 SKUs.

Plumbing was effectively flat at +0.4% and has now grown less than 1% for three consecutive quarters.

5. Margin and Markdown

Chain gross margin of 32.2% missed the 33.5% plan by 1.3 points. The variance decomposes as follows: Garden & Outdoor markdown depth accounts for approximately 0.6 points, digital channel mix for approximately 0.4 points, and Spokane clearance activity for approximately 0.2 points, with the balance in supplier cost inflation on Lumber.

Of the 14 promotional events run in the quarter, 6 were approved in-quarter rather than in the seasonal plan. Chain markdown rate finished at 8.3% against a 6.5% plan. Category managers should note that markdown authority thresholds are set in the Zava DIY Markdown and Clearance Policy maintained by Merchandising; the policy applies to all in-quarter events, including inventory-driven clearance.

6. Inventory and Supply

Category	Inventory at cost, 30 Jun	Weeks of supply	Target

Garden & Outdoor	$6.84M	14.2	8.0
Lumber & Building Materials	$3.11M	4.6	7.0
Power Tools	$4.02M	9.1	9.0
Paint & Finishes	$2.47M	6.8	7.5
All other categories	$7.29M	8.4	8.5

Garden & Outdoor closed the quarter at 14.2 weeks of supply against an 8.0 week target — an overhang of roughly **$2.99M at cost** heading into a category that historically runs at 50% of normal volume through the Washington winter. Buying committed to the position in February on a forecast that assumed the April promotional calendar would clear it.

Lumber sits at 4.6 weeks against a 7.0 week target and is the constraint on that category rather than demand.

7. Digital and Fulfillment

Zava Retail Online grew 18.9% and now accounts for 21.3% of chain net sales. Cost to fulfill an average online order rose to **$14.60** from $11.90 in Q2 2025, driven by a shift toward split shipments and a 12% increase in the carrier rate card effective 1 April 2026. Buy-online-pickup-in-store accounted for 27% of digital orders and costs $4.15 per order to fulfill.

The channel's 5.9% return rate is concentrated in Power Tools and Garden & Outdoor. Return reason coding is incomplete for approximately one third of returns, which limits root-cause analysis.

8. Customer Experience

Blended NPS fell four points to 41. Store-level detractor commentary clusters on two themes: item availability, which is consistent with the 2.4 point decline in in-stock rate on the top 200 SKUs, and checkout wait times at Seattle and Bellevue on weekends. Spokane recorded the largest single-store NPS decline, from 44 to 33.

9. Risks and Watch Items for Q3

- Garden & Outdoor inventory position entering the seasonal decline.
- Spokane trajectory and the competitive opening in that market.
- Digital fulfillment cost per order relative to channel margin.
- Lumber supplier lead times ahead of the autumn project season.
- In-stock rate on the top 200 SKUs.

Operations and Merchandising will bring recommended actions on each item to the Q3 planning session.

Appendix A — Methodology and Definitions

Net sales are gross sales less customer returns and allowances, and exclude sales tax and delivery fees charged to the customer. **Gross sales** figures published in the operational extracts on the Store Operations SharePoint library are stated *before* returns; a store's net sales in this report will therefore be lower than the gross sales figure for the same store and period. The chain recorded $1.58M in returns and allowances in Q2 2026, or 3.24% of gross sales.

Gross margin is gross profit as a percentage of net sales and is stated before allocation of digital fulfillment cost, occupancy, and shrink. **Markdown rate** is total markdown dollars as a percentage of gross sales at full retail. **Weeks of supply** is closing inventory at cost divided by the trailing 13-week average weekly cost of goods sold. **Average basket** is net sales divided by transaction count.

Store-level inventory turns, category-level unit volumes, and store-level markdown detail are not presented in this report; they are maintained in the operational extracts by Store Operations.